

rying about Angstrom at 3:00 A.M., I realized it made no sense. After all, for every share that's sold there has to be somebody who bought it—so how could one side of the transaction outnumber the other?

After pondering this for a few hours until daybreak, I had to admit I didn't understand why stock prices go up and down. You'd think I would have learned it by now. You'd think that any average investor could explain such a simple thing, but I polled a few friends and they drew blanks as well. At the investment conference in Fort Lauderdale, they never discussed the mechanics of stock prices. Maybe millions of people have bought stock without having the slightest idea why they paid the prices they did. For their sake and for mine, I decided this mystery ought to be cleared up.

I returned to the library to research the matter and met up with one of the unfortunates described earlier, who called himself Bannister. Mr. Bannister told me he slept under the stars, if possible on a public bench, waiting for someone to supply him with some venture capital so he could eat. I invested a few dollars, and then asked him if he knew why stocks went up and down. He surprised me with this answer:

"It's like an auction, man. Think of it this way. You ever been to an auction? A couch, a chair, whatever, sold to the highest bidder. With stocks it's the same, except the old merchandise gets brought out again and again, and gets sold over and over."

After leaving Mr. Bannister, I found several books that more or less confirmed his view. Thinking of the stock market as an auction, I tried to imagine what must have happened to my Angstrom. At $\$1^{15/16}$ per share, which is where I bought it, there must have been a crowd of buyers, but not so many sellers. Then some anxious buyer must have raised the bid to \$2. This extra little profit coaxed out a few more sellers, but still not enough to satisfy all the buyers, until the latest anxious buyer raised his bid to $\$2^{1/16}$. This $\$2^{1/16}$ price attracted a few more sellers, but supply must have dried up quickly, because a subsequent buyer was forced to raise his bid to $\$2^{1/8}$. It kept going like this until the stock price reached $\$2^{3/4}$, its high to date.

At that point, there were many sellers delighted to give up their shares for $\$2^{3/4}$, but the buyers disappeared. The most anxious of